The poverty of India was not a product of its geography or of the lack of natural resources or of some 'inherent' defect in the character and capabilities of the people. Nor was it a remnant of the Mughal period or of the pre-British past. It was mainly a product of the history of the last two centuries. Before that, India was no more backward than the countries of Western Europe. Nor were the differences in standards of living at the time very wide among the countries of the world. Precisely during the period that the countries of the West developed and prospered, India was subjected to modern colonialism and was prevented from developing. All the developed countries of today developed almost entirely over the period during which India was ruled by Britain, most of them doing so after 1850. Till 1750 the differences in living standards were not wide between the different parts of the world. It is interesting, in this connection, to note that the dates of the beginnings of the Industrial Revolution in Britain and the British conquest of Bengal virtually coincide!

The basic fact is that the same social, political and economic processes that produced industrial development and social and cultural progress in Britain also produced and then maintained economic underdevelopment and social and cultural backwardness in India. The reason for this is obvious. Britain subordinated the Indian economy to its own economy and determined the basic social trends in India according to her own needs. The result was stagnation of India's agriculture and industries, exploitation of its peasants and workers by the zamindars, landlords, princes, moneylenders, merchants, capitalists and the foreign government and its officials, and the spread of poverty, disease and semi-starvation.